

1.5 COMPETITION AND DISCRIMINATION

Multiple Choice Questions

1986/AL/I/07

Which of the following is **NOT** a form of competition?

- A. racial discrimination
- B. waiting in line
- C. paying a price for a product
- D. breathing in a desert

1987/AL/I/06

Scarcity implies

- A. there is no such thing as a free good.
- B. competition is inevitable.
- C. a lack of proper planning.
- D. price is the only viable criterion for the allocation of resources.

1987/AL/I/10

Which of the following statements about economic good is **FALSE**?

- A. An economic good is a good for which the amount available is less than the amount people want at zero price.
- B. An economic good is a good that is subject to competition.
- C. An economic good is a good for which more of it is not preferred.
- D. None of the above.

1987/AL/I/18

Which one of the following statements about competition is **FALSE**?

- A. Waiting in line is a form of competition.
- B. The rules of competition define the criteria that determine who wins and who loses.
- C. Price is the main criterion of competition in a capitalist economy.
- D. There is no competition in a socialist economy because resource allocation is determined by the government.

1990/AL/I/18

The Open Learning Institute accepted only 3 000 students out of 60 000 applicants. Which of the following methods of allocating the places would be discriminatory?

- A. First come, first served.
- B. Raising the entrance requirements until only 3 000 applicants were eligible.
- C. Random selection by computer.
- D. All of the above.

1992/AL/I/05

Scarcity

- A. is implied by the existence of price.
- B. is the same as shortage.
- C. applies to all kinds of goods.
- D. All of the above.

1992/AL/I/09

Recently, some housing developers in Hong Kong have begun selling housing units by lottery. That is, at their asking price, there are too many buyers queuing up to buy the flats. So, in addition to the purchase price, a buyer must be a winner in the lottery. This implies

- A. competition for private flats is reduced since buyers no longer need to line up for days.
- B. efficiency is improved.
- C. a change in the form of competition.
- D. the Hong Kong government is imposing a control on the price of flats.

1993/AL/I/21

Scarcity

- A. is implied by the existence of price.
- B. implies competition in society.
- C. does not exist for a free good.
- D. All of the above.

1994/AL/I/02

Scarcity

- A. is the same as shortage.
- B. exists for all goods.
- C. can be eliminated by the price mechanism.
- D. implies competition and discrimination.

1995/AL/I/01

Which of the following statements about competition is correct?

- A. Competition is inevitable because there is no such thing as a free good.
- B. There is no competition in a centrally planned economy.
- C. All competitions are discriminative.
- D. Price is the only criterion of competition.

2001/AL/I/06

In a society, scarcity

- A. implies competition.
- B. implies discrimination.
- C. implies a willingness to sacrifice.
- D. All of the above.

2004/AL/I/02

Competition will **NOT** arise if

- A. all individual are identical.
- B. there is a monopoly in each and every market.
- C. there is no market.
- D. all goods are free goods.

2005/AL/I/03

Which one of the following pairings has terms that are closest in meaning?

- A. scarcity and shortage
- B. monopoly and competition
- C. private property and social cost
- D. competition and discrimination

2007/AL/I/03

Scarcity implies

- A. the market is the most efficient place for allocating resources.
- B. shortage if the market does not exist.
- C. the concept of equilibrium is essential.
- D. some people must be discriminated against in a society.

2007/AL/I/25

Non-price competition implies

- A. surplus.
- B. shortage.
- C. scarcity.
- D. monopoly.

2009/AL/I/01

Which of the following statements about scarcity and shortage is correct?

- A. Whenever there is shortage, there must be scarcity.
- B. In a one-man economy, there may be shortage.
- C. Whenever there is scarcity, there must be shortage.
- D. Scarcity necessarily implies competition.

2012/AL/I/03

A university hall accepts only 20 students out of 8 000 applicants. Which of the following methods of allocating the places would be discriminatory?

- A. selection based on the applicants' travelling time to the university
- B. first-come-first-served
- C. random selection by computer
- D. All of the above

2025/DSE/I/24

Which of the following is **NOT** included in the gross national income of Hong Kong?

- A. the dividend received by a Japanese resident from a company in Hong Kong
- B. the salary received by a British consultant working in Hong Kong for 18 months
- C. the interest received by a Hong Kong resident holding silver bonds which is issued by the Hong Kong Government
- D. the rental income earned by a Hong Kong resident for investing in properties in Mainland

Short & Structured Questions

1991/AL/I/3

'Whenever there is scarcity, there is competition.' Defend this statement.

'Whenever there is competition, there is discrimination.' Defend this statement also.

(8 marks)

2012/DSE/II/5(a)

Country A has imposed an effective price ceiling on Good X. Suppose Country A eliminates all illegal transactions of Good X. Can this price control ensure all lower income buyers obtain the quantity of Good X they plan to purchase? Explain.

(4 marks)